

SIDDHI PREP

READ-TO-LEAD

**DAILY
DOSSIER**

(CURRENT AFFAIRS)

01-SEP-2026

WHERE READING MEETS RELEVANCE...



Good Morning!! Dear Siddhi_Gang

This is a dossier that contains curated and yet authentic current affairs related articles sourced from The Hindu, Indian Express & PIB.

Please note that, while Reading this, You don't have to make any Notes!

Give it a read and enjoy the flavors of today's News.

All the Best

#siddhiThoSadhiddam

WHY READ-TO- LEAD ?

1. Curated and Exam relevant articles for SSC , CDS , CAPF , AFCAT , CGCAT

2. Improves your Reading speed

4. Improves comprehending ability

3. Builds awareness on the current affairs



India, Uzbekistan elevate strategic relationship

Uzbekistan is at heart of India's engagement in Central Asia, says PM Modi during two-day visit

Two countries plan comprehensive strategic partnership; set \$5 billion trade target by 2030

Two sides agree to establish a framework for supply of Uranium from Uzbekistan to India

Press Trust of India
TASHKENT

India and Uzbekistan on Sunday decided to elevate their ties to a comprehensive strategic partnership and set a target of \$5 billion in annual trade by 2030 following talks between Prime Minister Narendra Modi and Uzbek President Shavkat Mirziyoyev.

The two sides inked 11 agreements for boosting engagement in several key sectors, including mining and tourism, and agreed to establish a framework for long-term supply of Uranium from Uzbekistan to India in line with cooperation in the civil nuclear energy sector.

The talks focused on expanding cooperation in areas of critical minerals, mining, defence and security, agriculture, pharmaceuticals, digital public infrastructure, including

UPI, and education.

"We are celebrating the 15th anniversary of our strategic partnership. I am delighted that, on this special occasion, we are elevating our ties to the level of a comprehensive strategic partnership," Mr. Modi said.

"We will move forward by setting concrete goals within this framework," he said.

Mr. Modi said both sides will also elevate their existing joint commission from the level of secretaries to that of ministerial level.

Mr. Mirziyoyev said Uzbekistan is determined to boost ties with India in diverse sectors. "We are aiming to advance cooperation in sectors such as energy, culture, critical minerals, pharmaceuticals, jewellery, and agriculture," the Uzbek President said.

The current volume of bilateral trade between the two nations is over \$1



Prime Minister Narendra Modi with Uzbekistan President Shavkat Mirziyoyev after receiving the country's highest national award. ANI

billion.

"Uzbekistan is at the heart of Central Asia and is at the heart of India's engagement in the region," Mr. Modi said.

The Prime Minister added: "A stronger India-Uzbekistan partnership will be a powerful force for peace, progress and prosperity in Central Asia."

Delving into the ambitious agenda of future cooperation between the

two sides, Mr. Modi said India and Uzbekistan will encourage their defence industries to look at co-development and co-production of military hardware.

A joint statement said the two leaders agreed to expand cooperation in the field of critical minerals through the implementation of joint projects in geological exploration, mining, mineral processing,

and the development of integrated value chains.

"The close defence and security cooperation between our two countries reflects our deep mutual trust. In the future, we will promote direct linkages, co-production, and co-development between our defence industries," Mr. Modi said.

"We believe that terrorism, extremism, and separatism pose serious challenges to the entire region," Mr. Modi said. "Maintaining a policy of zero tolerance against these threats has been, and will continue to be, our shared resolve."

A Letter of Intent for the restoration and conservation of the Buddhist sites of Fayaz Tepa and Kara Tepa in Uzbekistan was also agreed upon. These ancient Buddhist monasteries in southern Uzbekistan highlight how Buddhism spread along the Silk Road

and flourished in Central Asia.

Pact on UPI payments

The two sides announced that a commercial pact was signed up between NPCI International Payments Ltd (NPCI) and Uzbekistan's National Interbank Processing Centre JSC to enable UPI apps of India to scan Uzbekistan's national QR (UZQR) for making merchant payments in the Central Asian nation.

The announcements included a grant of \$1 million for afforestation in the Aral Sea region.

Mr. Modi landed in Tashkent on Saturday on a two-day visit to bolster ties with Uzbekistan.

In his opening remarks at the bilateral talks, the Prime Minister also made a mention of the "productive talks" he had with the Uzbek President over dinner last night.

"We had a productive

discussion over dinner last night and took several important decisions." "We will establish a Coordination Council at the level of Foreign Ministers to provide direction to all aspects of our cooperation through close coordination," Mr. Modi said.

Amid a complex geopolitical situation, they stressed the need for a free, open and rules-based international order, building on their multilateral cooperation, a joint statement said.

"The leaders highly appreciated the progress achieved in regional cooperation and reaffirmed their commitment to further strengthening engagement within Central Asia-India format at the level of Heads of States and other levels," the statement added.

PM VISITS MEMORIAL

» PAGE 4

SOURCE: THE HINDU



Palliyodams, traditional snake boats of Keralam, glide along the Pampa during a regatta in Aranmula on Sunday. LEJU KAMAL

Aranmula boat race a symbol of Keralam's rich culture, says V-P

The Hindu Bureau
KOLLAM

The Aranmula Uthrattathi boat race stands as a timeless symbol of Keralam's rich cultural heritage, deep devotion, and enduring traditions, Vice-President C.P. Radhakrishnan said while inaugurating the event at Aranmula in Pathanamthitta district on Sunday.

He added that the town itself is named after the ancient Parthasarathy temple, which boasts a heritage spanning nearly 1,800 years, and is equally famed as the birthplace of the Geographical Indication (GI)-tagged Aranmula *Kannadi* (metal mirror).

Stressing the importance of safeguarding cultural legacies, the Vice-President pointed out the vital need to preserve and promote traditional arts and crafts.

He praised the majestic, beautifully decorated *Palliyodams* powered by over a hundred oarsmen rowing in complete unison, serv-

ing as a masterclass in physical endurance and extraordinary craftsmanship. He remarked that the Aranmula boat race has captivated visitors from across India and around the globe for centuries, securing a prominent place for Aranmula on the cultural and tourism map – a legacy that must be carefully preserved for future generations.

Festivals, he observed, serve as a poignant reminder of the remarkable power of heritage to unite people and fortify social bonds. He pointed out that tradition and modernity are not conflicting forces, but rather pillars that can comfortably coexist. He added that while Keralam celebrates Onam, Odisha observes the Rath Yatra in Puri. He observed that a shared culture consistently binds the nation together. He also expressed his deep delight at having presided over the Rajya Sabha session during which the Bill to rename the State as "Keralam" was passed.

SOURCE: THE HINDU

After three decades of wait, Naidu to inaugurate Veligonda irrigation project

The Hindu Bureau

VIJAYAWADA

Andhra Pradesh Chief Minister N. Chandrababu Naidu will inaugurate the first phase of the Poola Sub-baiah Veligonda irrigation project in Markapuram district and release water on Monday.

Interestingly, Mr. Naidu laid the foundation stone for the project on March 5, 1996, as the Chief Minister of undivided Andhra Pradesh. The project will bring much relief to the people of the drought-prone areas of Markapuram, Prakasam, Nellore and Kadapa districts.

The State government is



Once fully operational, the project will provide drinking water for 23 lakh people and irrigation for 4.47 lakh acres. SPECIAL ARRANGEMENT

organising the inauguration ceremony under the theme – *Velugonda Jala Sirulu – Abhivruddhiki Rekaku* (Velugonda Waters – Wings for Development).

For decades, the region has faced inadequate rain-

fall, depleted groundwater, fluoride contamination, and a shortage of irrigation water. Once fully operational, the Veligonda project will serve 30 mandals across the Prakasam, Markapuram, Nellore, and Ka-

dapa districts, providing irrigation for 4.47 lakh acres and drinking water for 23 lakh people.

The project diverts Krishna river water from the Srisailem reservoir, store it in the Nallamala Sagar, and distribute it through main canals.

Direct beneficiaries

With the inauguration of Phase-I, 10.70 tmc ft of water will be released into Nallamala Sagar, providing irrigation for approximately 1.19 lakh acres and drinking water for 4 lakh people.

Improved irrigation security will reduce uncertainty for farmers and facilitate crop diversification.

SOURCE: THE HINDU

PM pays tribute at Shastri Memorial, plants tree with Uzbekistan President

Press Trust of India

TASHKENT

Prime Minister Narendra Modi paid floral tributes at the Shastri Memorial in Uzbekistan's capital on Sunday, honouring the legacy of former Prime Minister Lal Bahadur Shastri by planting a tree along with Uzbek President Shavkat Mirziyoyev.

Shastri, India's second Prime Minister, died in the Uzbek capital on January 11, 1966, just hours after signing the historic Tashkent Declaration to end the 1965 India-Pakistan War.

His "timeless call of 'Jai Jawan, Jai Kisan' continues to inspire generations," the External Affairs Ministry said, adding that his life "embodied simplicity, courage and unwavering devotion to the nation."



In homage: Prime Minister Narendra Modi pays floral tributes to Lal Bahadur Shastri at the memorial in Tashkent on Sunday. ANI

Mr. Modi and Mr. Mirziyoyev also jointly planted a tree in the Presidential Palace garden under India's *Ek Ped Maa Ke Naam* initiative and Uzbekistan's *'Yashil Makon'* green efforts, the Ministry said in a post on X. "The gesture reflects the shared commit-

ment of India and Uzbekistan towards nurturing a greener and more sustainable future," it said.

The tree-planting ceremony came after the Prime Minister held delegation-level talks with the Uzbek President at the Kuksaroy Presidential Palace as part

of his two-day state visit to Uzbekistan. The two countries agreed to elevate their bilateral Strategic Partnership to a Comprehensive Strategic Partnership, setting a bilateral trade target of \$5 billion by 2030.

Uzbek honour to Modi

Mr. Mirziyoyev also conferred Uzbekistan's highest honour for foreign leaders, the Oliy Darajali Do'stlik Order, on Mr. Modi for his contribution to strengthening the friendship between the nations. Earlier in the day, he attended a yoga session by the Yoga Federation of Uzbekistan and met members of the Indian diaspora.

Later, Mr. Modi arrived in Kyrgyzstan, where he is to attend the Shanghai Cooperation Organisation summit.

SOURCE: THE HINDU

Modi stresses need to keep India's youth free from drugs

Students, theatre groups must raise awareness against drug menace, says PM in his *Mann ki Baat* address; 35 lakh women across the country have benefited from PM SVANidhi Yojana, he adds

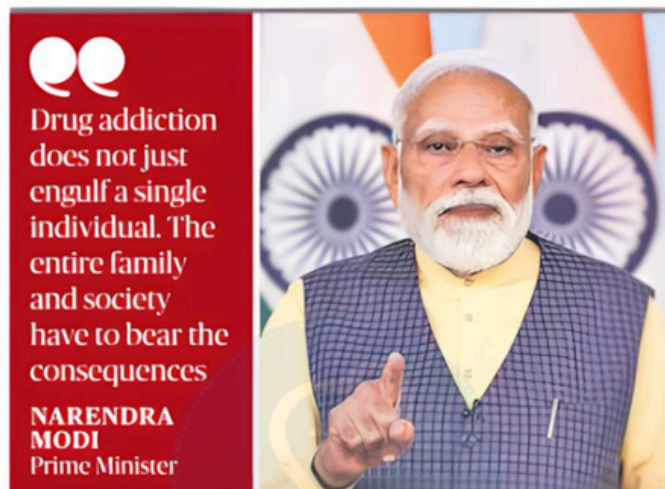
The Hindu Bureau
NEW DELHI

Prime Minister Narendra Modi has flagged the dangers of drug addiction, highlighted the economic avenues opening up for women and girls in India, including in the space industry, and lauded the cleanliness initiatives being undertaken by citizens.

"Drug addiction does not just engulf a single individual. The entire family and society have to bear the consequences," Mr. Modi said in his 137th *Mann ki Baat* episode on Sunday. "I would like to commend those who raise awareness against drugs and step forward to help individuals struggling with addiction."

Mr. Modi urged young musicians to produce songs that convey the message of a drug-free life, students and theatre groups to write short plays that highlight the dangers of drugs while also showing the path to recovery, and content creators to spread the message on social media in various languages.

"Let us all play our part in this noble mission to



keep India's youth away from drugs and free from addiction," Mr. Modi said.

Women empowerment

"From morning till evening, lakhs of women across the streets of our cities and towns are engaged in their work," the Prime Minister noted. "Some sell vegetables or fruits, others run tea stalls, while some sell flowers, earthen lamps, and worship materials."

He added that, often, a lack of capital prevents such businesses from growing further. "But now, lakhs of such mothers and sisters are gaining new strength through the PM SVANidhi Yojana," Mr. Modi said. "This aspect of wo-

men empowerment is not discussed as much as it should be. Women account for approximately 46% of the beneficiaries of the PM SVANidhi Yojana."

This, he explained, meant that around 35 lakh women across the country are expanding their businesses by connecting with this scheme. PM SVANidhi Yojana is a Central government scheme aimed at providing affordable and easy working capital loans without any guarantee to street vendors and hawkers in urban areas. "Today the flight of our daughters' dreams is soaring from the earth to outer space," Mr. Modi told listeners of his radio programme. "And

you will be proud to know that India is bringing together thousands of daughters who are nurturing such dreams, from across the globe. This initiative is named Mission ShaktiSAT."

Through this initiative, 12,000 girl students from 108 countries are getting the opportunity to learn satellite technology and to advance in the field of innovation, he said.

On August 23, celebrated as National Space Day, the second phase of Mission ShaktiSAT was launched at Gautam Buddha University in Greater Noida where around 100 female students from across the country, including remote regions, and various other countries came together.

"The goal of this entire initiative is truly special: preparations are under way to send a satellite – developed entirely through the participation of female students – into lunar orbit," Mr. Modi said. "I am confident that many of these students will carve out a distinct identity for themselves in the fields of science, technology, and innovation in the future."

SOURCE: THE HINDU

Govt. notifies IST as common time reference across India; gives 180 days for compliance

Press Trust of India
NEW DELHI

The Union government has notified the Legal Metrology (Indian Standard Time) Rules, 2026, mandating Indian Standard Time (IST) as the single reference for legal, administrative, commercial and other official purposes across the country.

The nodal Consumer Affairs Ministry notified the rules on August 27. Still, they will come into force 180 days after their publication in the Official Gazette, giving government departments, businesses, and institutions time to align their systems.

The move comes amid growing reliance on digital and technology-based systems—from banking and payments to telecommuni-



The Centre is building facilities to disseminate accurate IST. GETTY IMAGES/ISTOCKPHOTO

cations, railways, power grids and computer networks—that depend on accurate and synchronised time stamps. The Ministry said inconsistencies between different time sources could affect the coordination and recording of such activities, prompting the push for a uniform national time standard.

The common time reference is expected to sup-

port accurate time-stamping of banking and digital payment transactions, coordination among railways, airports and other transport systems, reliable functioning of telecommunication and internet networks, precise time-keeping in power systems, upkeep of government and legal records, and coordination of emergency and other time-critical services, the Ministry said in a statement.

A key feature of the rules is the emphasis on reducing dependence on foreign satellite-based time sources, which several critical systems currently rely on. The government is building infrastructure to disseminate accurate IST through Indian institutions and legal metrology laboratories.

SOURCE: THE HINDU

Study sheds light on early warning signs before eruption of solar flares

The Hindu Bureau
BENGALURU

In a new study, scientists have found small, short-lived brightening in the sun's atmosphere that appear hours before a major solar flare erupts, clustering around the spot where the flare later occurs.

The study was carried out by researchers from the Manipal Centre for Natural Sciences and Manipal Academy of Higher Education, along with scientists from the Indian Space Research Organisation (ISRO), Department of Space, and other academicians.

It used simultaneous ultraviolet (UV) and X-ray observations from three payloads onboard the Aditya-L1 mission.

The Solar Ultraviolet Imaging Telescope (SUIT) payload observed the sun in II near-ultraviolet (NUV)



Scientists found numerous small, short-lived brightening 'transient events', occurring before the onset of major flares. GETTY IMAGES

filters, revealing different layers from the upper photosphere to chromosphere, according to the ISRO.

"NUV wavelengths are largely inaccessible from the ground because Earth's atmosphere absorbs most ultraviolet radiation. Complementing SUIT are two X-ray instruments, the Solar Low Energy X-ray Spectrometer (SoLEXS) and the High Energy L1 Orbiting X-ray Spectrometer (HELIOS), which measure

the X-ray emission produced by energetic processes in the solar corona. Combining these data, scientists study how activity in the lower solar atmosphere is linked to energy release in the corona during the build-up to a flare," the ISRO stated.

Analysing solar flare events, the team found numerous small, short-lived brightening 'transient events', occurring in active regions before the onset of

major flares. "Some of these also showed corresponding X-ray signatures, indicating that they involve the release of magnetic energy... These pre-flare transient events clustered around the location where the major flare later occurred. The results suggest that repeated small-scale energy release may progressively destabilise the magnetic field in an active region, eventually leading to a large solar flare," the ISRO said.

The findings provide valuable insights into the physical processes that trigger solar flares and move scientists a step closer towards reliable flare forecasting, which will ultimately contribute to better space weather prediction; help protect satellites, astronauts, and communication systems; and other critical technologies.

SOURCE: THE HINDU

Nancy Grace Roman Telescope



A computer generated model of the Nancy Grace Roman Telescope. NASA

Reuters

NASA is preparing to launch its next flagship space observatory — one scientists plan to use to investigate some of the universe's biggest mysteries, including dark energy and dark matter, while also testing gravity at vast scales and hunting for planets beyond our solar system.

The Nancy Grace Roman Space Telescope is a roughly \$4-billion project. At the time of writing, it was planned for a Sunday launch from the NASA Kennedy Space Center in Florida. The observatory will be lofted into orbit aboard a SpaceX Falcon Heavy rocket. The telescope is named after the late Nancy Grace Roman, NASA's first chief astronomer.

It is a follow-on to the Hubble Space Telescope, launched in 1990, and the James Webb Space Telescope, launched in 2021, and has capabilities that can expand on the knowledge gained by those pioneering observatories, both of which also still operate. The telescope's

main survey will take more than a year, per Roman's senior project scientist Julie McEnery.

"The survey will contain over two billion galaxies and enable us to study how the structures in our universe — the stars, the galaxies, the clusters of galaxies — grew and evolved. We'll also measure how our universe has expanded over time," she said.

After launch and separation from the rocket, the telescope will travel towards a location called Lagrange point 2, about 1.6 million km from the earth. Webb also resides at this location.

U.S. President Donald Trump tried during both his first and second terms to reduce or eliminate funding for Roman but the Congress preserved it.

For feedback and suggestions

for 'Science', please write to science@thehindu.co.in with the subject 'Daily page'

SOURCE: THE HINDU

Fame was never the goal, but this is one of the greatest honours: Federer

The Swiss takes a trip down memory lane after being inducted into the Hall of Fame; doesn't forget to mention the lesser-known 'statistical milestones' in a light-hearted speech; says he is still writing his love letter to tennis

TENNIS

Agence France-Presse
NEW YORK

A tearful Roger Federer was inducted into the International Tennis Hall of Fame on Saturday, describing his formal entry into the sport's pantheon as one of the "greatest honours of my life."

The 20-time Grand Slam champion was frequently overcome with emotion as he addressed a crowd bristling with tennis royalty in Newport, Rhode Island.

The 45-year-old Swiss, who retired in 2022, paid tribute to the opponents, officials, fans, family and friends during a lengthy address that unfolded as a love letter to the sport. "This is one of the greatest honours of my life," Federer said.

"They call this the Hall of Fame, but fame was never the goal. My goal was to spend my life doing something I love... with people who I love it as much as I do."

In a light-hearted preamble, the eight-time Wimbledon title-winner totted up his career with



Priceless moment: Federer, gushing with pride after being bestowed with the highest honour, embraces wife Mirka. GETTY IMAGES

some of his lesser-known statistical milestones. "[It is] not the obvious stats like the number of Majors or number of weeks at No. 1," Federer said.

"I am talking about the numbers that really paint a picture. Between 1998, when I first went on the ATP Tour, and when I retired in 2022, I wore more than 5,000 headbands. That's more than [Bjorn] Borg and [John] McEnroe combined.

"And if you think that's impressive, I probably

wore over 7,000 pairs of socks. That's probably twice as many as most of my opponents because I doubled them up. But really, there's no way to measure what it means to be here.

"It's hard to put it into words," Federer said, reflecting on his journey from being a 13-year-old ballboy at an ATP tournament in Basel to the pinnacle of tennis.

"I really want to thank every ball kid who ever stood through my matches

or all our matches for hours," Federer said. "I see you. I thank you. I was you."

Inspiration

Federer had to wipe away tears as he name-checked his idol Stefan Edberg, other tennis stars, family and support staff who had inspired him throughout his career.

"I need tissues, sunglasses and everything to protect me right now," he joked.

"This is such a mess. It

has been an incredible journey. For me, the International Tennis Hall of Fame provides a great opportunity to not only look back but also look ahead," he added.

"As you can tell, I am still writing my love letter to tennis. My time as a player is done, but tennis will always stand at the intersection of everything I care most about: my family, our friendships, the past 40 years, the future we are building. Tennis for me is responsible for it all."

SOURCE: THE HINDU



Abhay Singh wins 13th PSA Tour title in Malaysia

Top seed Abhay Singh clinched the Tuanku Muhriz Trophy squash, a \$15,000 PSA Challenger event in Negeri Sembilan, Malaysia on Sunday, defeating third seed Henry Leung of Hong Kong 11-7, 6-11, 3-11, 11-5, 12-10 to bag his 13th PSA Tour title in 18 finals. Abhay beat the Malaysian trio of Ameeshenraj Chandaran 7-11, 11-9, 11-7, 7-11, 11-3 in the semifinals, Md. Syafiq Kamal 11-4, 11-13, 11-5, 11-5 in the quarterfinals and Low Wa Sern 8-11, 11-2, 11-6, 11-2 in the second round following a first-round bye.

SOURCE: THE HINDU

Centre set to wrap up trade agreement with Chile this year

The Hindu Bureau
NEW DELHI

India is committed to concluding a “balanced and mutually beneficial” trade deal with Chile this year, the Commerce and Industry Ministerial held here a meeting between Commerce Secretary Dheer Jaiswal and Chile’s Vice Minister of International Economic Relations, Raffa Veronica Palumbo.

The meeting took place on August 25 in Santiago, Chile, to advance negotiations on the India-Chile Comprehensive Economic Partnership Agreement (CEPA). India and Chile had started negotiations last year for a trade agreement (the talks on Chile were cut short in 2020, amid the pandemic).

“India remains committed to concluding a comprehensive, modern, and mutually beneficial trade agreement, advancing balanced and mutually beneficial long-term trade and economic partnership,” the ministry of commerce and industry said in a post on X on Sunday.

Bilateral exports to Chile stood at \$2 billion in 2023–24, up about 5% from the previous year.

SOURCE: THE HINDU

Both sides stressed the importance of building on the growing India-Chile relationship

Over flow of Chile, on the other hand, stood at \$5 billion – 50% higher than in 2022-23.

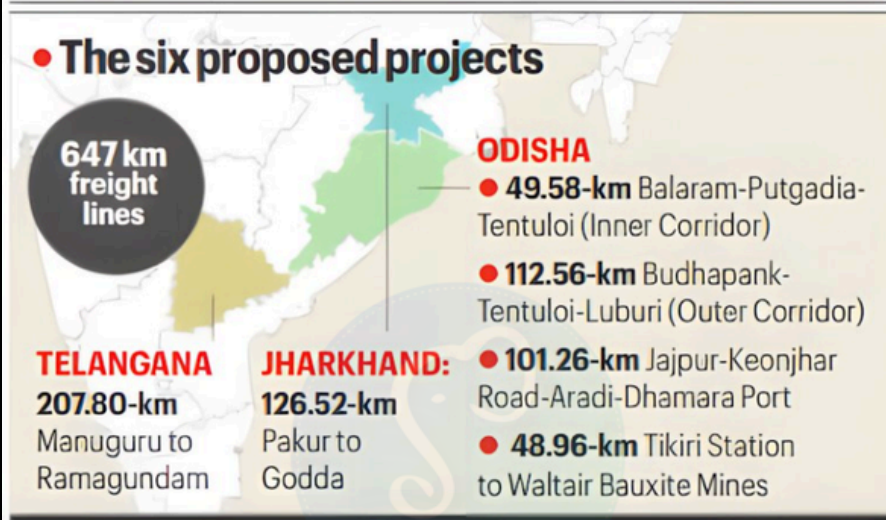
“The shared identity of India and Chile as open, laws of rule, future-oriented democracies that champion inclusive visist, provides a strong foundation for deepening bilateral economic cooperation and promoting shared prosperity,” the ministry said.

Both sides emphasized the importance of building on the shared and growing substantive relationship and directed the int to explore modalities rium romoting, complementarity meaningful opportunities for businesses on both sides.

“The Framework Service (established in Important relational to enhanced economic cooperation in sectors including healthcare, pharmaceuticals, minerals, coals, agriculture, machinery and educating,” the statement said.

In a first, Rlys to build 6 freight lines with pvt firms using highways' hybrid funding model

• The six proposed projects



**Dheeraj Mishra
& Sukalp Sharma**

New Delhi, August 30

GIVING A push to private investment in Indian Railways, the Public Private Partnership Appraisal Committee (PPPAC) under the Ministry of Finance, earlier in August, approved six railway lines spanning 647 km along freight corridors. These are to be developed under the Hybrid Annuity Model (HAM) — similar to the model used in the highways sector wherein the government and the private builder split the project costs and risks.

Of the six proposed railway projects, four are in Odisha: 49.58-km Balaram-Putgadia-Tentuloi (Inner Corridor), 112.56-km Budhapank-Tentuloi-Luburi (Outer Corridor), 101.26-km Jajpur-Keonjhar Road-Aradi-Dhamara Port and 48.96-km Tikiri Station to Waltair Bauxite Mines. The other two projects are the 207.80-km Manuguru-Ramagundam line in Telangana and the 126.52 km Pakur/Nagar-nabi to Godda line in Jharkhand.

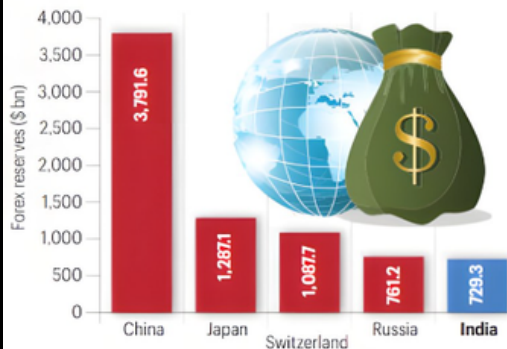
The project will now be sent to the Union Cabinet for final approval, before the bids are invited. This will be the first time

»CONTINUED ON PAGE 2

SOURCE: THE INDIAN EXPRESS

● India eyes 4th spot in forex reserves ranks

On Friday, Reserve Bank of India data showed India's foreign exchange reserves hit an all-time high of \$729.33 billion, cementing its position as the country with the fifth-largest reserves in the world and approaching Russia in fourth.



● With the RBI's three concessional swap schemes for Foreign Currency Non-Resident (Bank) deposits, Overseas Foreign Currency Borrowings, and External Commercial Borrowings still open, reserves should swell further.

● A higher level of forex reserves gives the RBI greater ammunition to defend the rupee when the need arises —

as has been the case over the last year. But how much is enough?

● According to former RBI Deputy Governor Michael Patra, the target should be at least \$1 trillion. "Punting against such a level should be beyond the reach of the opportunistic and/or the faint-hearted," Patra wrote in a column in March.

SOURCE: THE INDIAN EXPRESS

New investment treaties may include qualified most-favoured nation rule

Prasanta Sahu

New Delhi, August 30

A PROPOSED re-modelling of India's bilateral investment treaties (BITs) will not bring back the most-favoured nation (MFN) rule, rescinded a decade ago, but may still address investor concerns from large trading partners like the European Union with a flexible standard of qualified MFN treatment, according to official sources.

The carefully circumscribed provision could offer investors greater policy certainty without opening the door to broader claims based on provisions in treaties signed with third coun-

tries, the sources added.

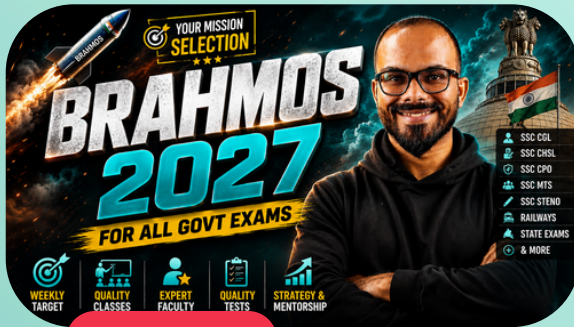
The move is seen as necessary not only to attract foreign investors but also to enable Indian investors to get similar treatment in major economies like the US or EU on a quid pro quo basis. An open approach to granting qualified MFN status to foreign investors could also be a great leverage in bilateral negotiations.

In the draft Cabinet note on BIT revamp circulated for deliberations, the Finance Ministry has suggested reducing the domestic Investor-State Dispute Settlement window to just one year from the present five years and doubling investor protection after the BIT expires to 10 years.

It also proposes widening the definition of 'investment' to include portfolio investments and other financial assets and banning third-party funding of litigation, the sources said. The 2015 BIT rule of not granting open-ended MFN or full fair and equitable treatment (FET) standard will be retained, reflecting concerns arising from the legacy of past disputes.

"India has to cautiously move beyond MFN. The judgment ought to be based on a quid pro quo treatment which India expects for homegrown MNCs working in the USA and EU," said Amit Agarwal, Senior Partner, Nangia & Co LLP. **FE**

SOURCE: THE INDIAN EXPRESS



ENROLL NOW



ENROLL NOW

INSTALLMENTS AVAILABLE



[Siddhi Prep](#)



[Siddhi Prep](#)



[Siddhi_Prep](#)



[Siddhi_Prep](#)



Link



VISIT NOW



FOR ANY QUERIES REACH US ON OUR
WHATSAPP NUMBER

9030898917

#SiddhiThoSadhiddam

